Crypto

SEC Ends Case Against Crypto Billionaire Justin Sun

Justin Sun *Photographer: Suhaimi Abdullah/Bloomberg*

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- The US Securities and Exchange Commission will end its lawsuit against Justin Sun, and a firm affiliated with him will pay $10 million.
- The SEC sued Sun in 2023, alleging he committed securities fraud and sold unregistered securities through companies he owned and controlled.
- The settlement plan requires a judge's approval, and under the plan, the SEC will drop all claims against Sun, while Rainberry will pay a $10 million civil penalty without admitting to or denying the allegations.

The US Securities and Exchange Commission said it will end its lawsuit against crypto billionaire Justin Sun and a firm affiliated with him will pay $10 million, as the regulator continues to resolve the spate of digital asset enforcement cases brought during the Biden administration.

The SEC sued Sun in 2023, alleging he committed securities fraud and bilked investors by working with companies he owned and controlled – the Tron Foundation, BitTorrent Foundation Ltd., and Rainberry Inc. – to sell unregistered securities.

The regulator said at the time that Sun artificially boosted the trading volume of Tronix, the native cryptocurrency of the Tron network, by directing employees to conduct more than 600,000 so-called “wash trades” of the token between crypto accounts he controlled.

The SEC said it would drop all claims against Sun under the settlement plan. A lawyer for the agency called the proposal “fair and reasonable” in a letter. Rainberry, which agreed to the terms without admitting to or denying the allegations, would pay a $10 million civil penalty, according to a filing on Thursday. A judge needs to approve the settlement.

Sun said he was “very pleased” the SEC has moved to dismiss the claims against him.

“Today’s resolution brings closure, but I never stopped building,” Sun said in a post on X.

The SEC declined to comment beyond the filing.

Since President Donald Trump's return to the White House, the SEC has dismissed or paused at least a dozen cases against crypto companies, including high-profile lawsuits against crypto exchanges Coinbase Global Inc. and Binance Holdings Ltd. That reversal coincides with Trump's pledge to make the US the "crypto capital" of the world, as digital assets have transformed his family's wealth.

Sun's profile rose after he made big purchases of some of the Trump family's cryptocurrencies, including the president's memecoin. He returned to the US for the first time in several years after the purchase earned him an invitation to a dinner where the president made an appearance.

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Sun's case has also drawn scrutiny from lawmakers after attorneys for Sun and the SEC sought a pause in the proceedings in February 2025. In January, Democrats on the House Financial Services Committee called on the regulator to resume the case, warning that abandoning it could create the appearance of pay-to-play politics.
– With assistance from Bob Van Voris

(Updates with SEC declining to comment beyond filing.)

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